

Copart Q4 2026 Full Update: Reading a Bad Quarter Carefully

An ugly quarter, as expected. Underneath it, the first sign of the turn.



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Copart (CPRT) reported its Q4-26 results on September 10, and the same day announced its intention to acquire ACV Auctions for \$1.9B.

A lot of news. Some good. Some not. **Above all, some that matter.**

Today, I'm only going to focus on the quarter itself and on what it implies for my thesis. I'll **publish a full analysis of the ACV acquisition and its consequences** v the SC 14D-9 and the SC TO-T are filed (it would be a shame to publish an analysis today that could be obsolete in a week).

I'm going to assume you've read my Copart deep dive.



Copart: a wonderful company at a wonderful price (I bought it, course)

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But just in case, here's a short summary of my thesis.

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1. The thesis

At the end of my deep dive, I summarize my thesis, what I'll be watching in the coming quarters/years, and my thesis breakers.

So I'm going to quote myself in full where it's relevant (more to avoid wasting time rephrasing than to show that I stay consistent).

1.1 The Copart thesis

"Here's my thesis summed up in 5 points:

- Copart's apparent recent weaknesses, and the extremely low valuations that out of them, are **in large part cycle noise**.
- Growth over the coming quarters/years will be supported by this **insurance cycle turning around**.

- **International insurance** will support growth over the medium term.
- **M&A can strike at any point** in the coming quarters, and hard, on any of the growth levers.
- Fears about long-term growth tied to autonomous vehicles are unfounded. I said, I have no certainty about how the TLF/ASP/accident-count dynamic will evolve over the long term/very long term.

The investment thesis is therefore to go long Copart over 2-5 years and bet on a **multiple re-rating** (which is where most of the potential performance will come from)."

1.2 The sector thesis

The phrase "insurance cycle turning around" is essential. It's the very center of the thesis, so it's worth spending a few minutes on it.

What I call the insurance cycle plays out on the stock of vehicles actually covered against the damage they take. The industry's measure is called **insured vehicle-years**

- 1 vehicle covered for 12 months = 1.
- 2 vehicles covered for 6 months = $0.5 + 0.5 = 1$.

The more these vehicle-years fall, the worse it is for Copart. The more they rise, better.

In 2023, US personal auto insurance came in at a combined ratio of 104.9.¹ When >100 , the industry underwrites at a loss; when it's <100 , at a profit. In 2023, the entire industry was therefore underwriting at a loss on average. That obviously wasn't sustainable, so insurers had to respond. Most of the big insurers (the 10 largest of the industry) raised their premiums and their deductibles sharply and quickly, profitability came back. Inevitably policyholders responded too:

- Some policyholders downgraded to liability only.
- Others simply stopped insuring their vehicles (even though it's illegal).

- Others stopped reporting their small claims to avoid paying the deductible.

In Q4-25 (calendar), **insured vehicle-years fell 4.0% while the fleet on the road g 1.4%.** ² More vehicles overall, but proportionally fewer insured vehicles, so fewer vehicles that can be totaled, so fewer units for Copart.

That was the average situation. But one insurer stood out.

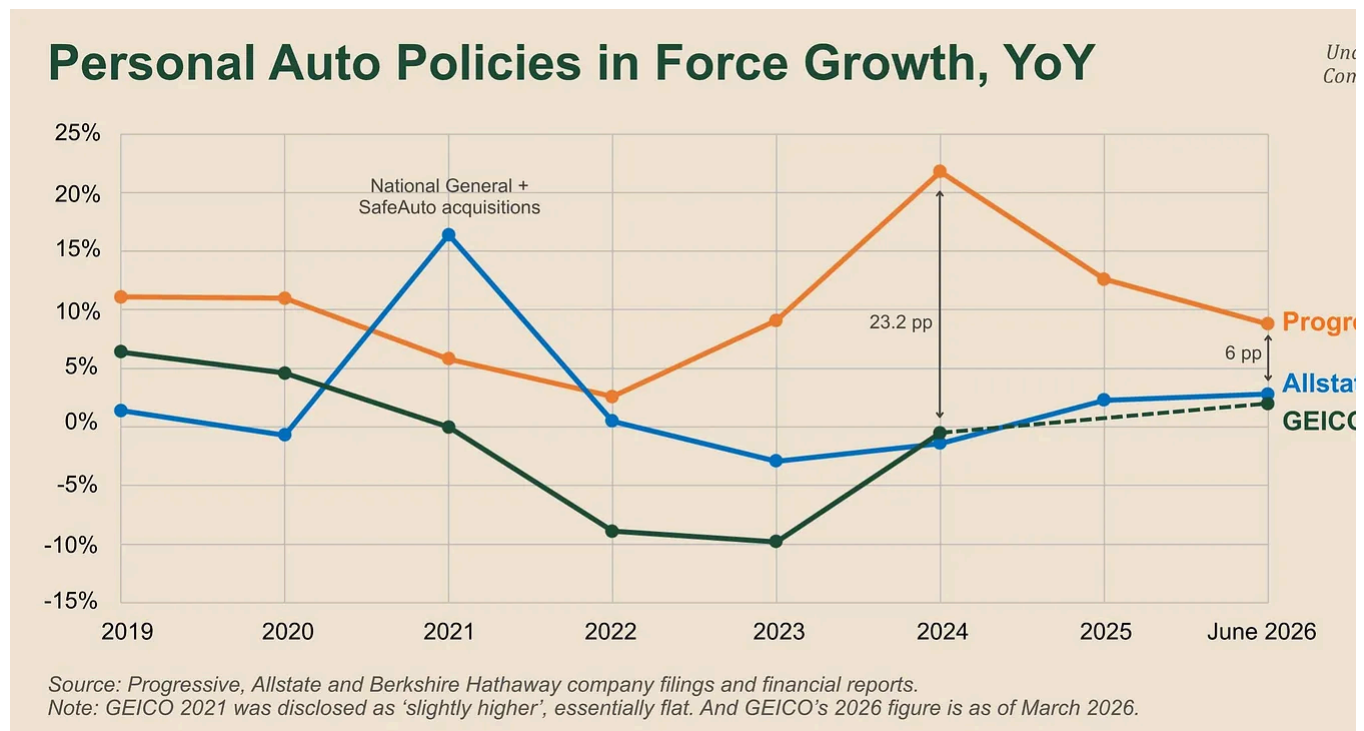
Progressive lived through this cycle from the other side: it was in a position of strength at the very moment the others were weak. Its combined ratio in 2023 was 88.5. While the other insurers were raising their prices quickly and sharply, Progressive cut its own (combined ratio of 88.5 in 2025), tripled its ad budget to \$5.1B and grew its policy count 13%. Over the same period, the 3 other big insurers were doing 2%.

To fund its price cuts, **Progressive used its position of strength and decided to renegotiate the fees it paid to Copart and IAA** (the other member of the US salvage duopoly, a subsidiary of RB Global). Copart refused to cut its fees; IAA accepted, the volumes followed and are still following (the shift doesn't happen all at once) cost of those volumes is already showing up in RB Global's accounts. Its take rate / gross value of vehicles sold) went from 21.4% to 20.0% in 3 quarters. Which means that for \$100 of vehicles sold on its platform, it lost \$1.40 of fees in 3 quarters. RB Global attributes this decline to "volume-related price incentives in automotive". Put differently, it bought Progressive's volumes with its gross margin.

"Look, you have two options in this business. You either can generate the liquidity and growth returns on the units that are going to bring the dollars in for the customer, or you've just cut pricing dramatically because you're not getting the returns, and that's how you offset weakness." (Jay Adair, CEO of Copart, conf call Q4-26)

Since then, momentum has left Progressive. The average American was paying 2% more for his auto insurance year over year in December 2023. In August 2026, he was paying 5.1% less. ³ The prices policyholders pay aren't rising anymore, they're falling. In its 2025 annual report, Berkshire warns that "competitors' rate reductions may extend that pressure into 2026". Put differently, the other big insurers are cutting prices hard enough that it costs GEICO itself some margin (GEICO, incidentally

its average premium per policy fall in Q1-26 calendar), and Berkshire expects the pressure to last.



As a reminder, GEICO = 1/8 of US auto insurance.⁴ So its figures are an acceptable proxy for the national situation. In Q1-26 (calendar), its claim frequencies rise across every coverage: +5 to 7% on bodily injury, +2 to 4% on property damage and collision. So the premium falls, frequency rises, and there are more claims filed. Multiply the total loss frequency and you have the supply of insurance salvage.

Ok for the industry, and for Copart?

Copart went through the cycle with the big insurers that took it head-on (GEICO, Allstate, State Farm) while the only one growing significantly was leaving for IA. The decline in units up to the first half of FY26 is largely explained by that. That same now works the right way around: **the ones regaining market share make up the of Copart's mix.** This effect works with a lag for Copart: it generally takes months between a policy being signed and a wreck coming through the gate of a yard.

That's what I call the insurance cycle turning around for Copart.

1.3 What I'm watching

In my deep dive I spell out what I'm going to watch over the coming quarters/fiscal years. In order (word for word):

- **“US insurance units excluding CAT.** This is the main metric for testing my countertrend thesis. It's the heart of my thesis. I expect stabilization in FY27 maybe even a return to growth. If US unit growth still hasn't shown its face in the first half of FY28, I'll consider the thesis dead. Watch out for short-term noise we've seen, there's a lag between insurance PIF growth and Copart's unit growth.
- **Revenue per unit.** Management doesn't always give it. It does give ASP every quarter, though (which is the most important driver of RPU). There are two options. Either you use ASP as a proxy, or you calculate it the way I did in the deep dive: service revenue / units. This second method has the advantage of staying close to the figure management reports on the rare occasions it discloses it. That's how I'll track it. (Careful not to read too much into the noise on any single quarter.)
- **International units.** This matters less in terms of raw numbers, but it also says a lot about how effective Adair's strategy is, and it presumably raises the odds they keep making good capital-allocation decisions.
- **US whole car,** for the same reasons: whether management's investments and CEO's word are actually worth something. As a reminder, he set his own deadline for spring-summer 2027: “I'd like to see that increase dramatically. To do that we're looking at restructuring [...] the goal is that it looks very different in the next four quarters.” (Adair, Conf Call, July 2026)
- **G&A in dollar terms.** This is the only variable where management decides everything. A gap versus my own scenarios isn't significant on its own. What matters is the reason Copart gives, if it gives one. Here too, it's more a way of judging capital allocation than anything else.”

And above all I warn readers: **“Be careful not to over-interpret the next 2 quarters. It's an insurance cycle, it isn't over. Even if it does turn around, it can take a few**

quarters before that shows up clearly in Copart's numbers. Being contrarian requires a certain tolerance for uncertainty. But that seems to be a necessary quality for a Copart investor."

1.4 The thesis breakers

As for my thesis breakers: "There are 3 things that would make me sell Copart all instantly:

- No growth in US insurance units in the first half of FY28, or a return to declining PIFs among the big insurers that make up most of Copart's mix (very probable GEICO, Allstate, etc.) in H2-FY27.
- A very large acquisition that fails to deliver on its promises.
- One of the rare but very high-impact risks mentioned in section 11 actually materializing (the CEO's death, a lasting problem on the VB3 platform, the company's stock price surging for more than a year, etc.)"

Perfect. I already have everything I need for what follows (these are the moments I'm glad I spend hundreds of hours on each deep dive).

For now:

- Nothing invalidates my thesis, not even partially.
- No thesis breaker that would instantly trigger a sale has shown up.
- I already have my keys for reading the quarter.

Here we go.

2. The results

A summary of the quarter:

- Revenue \$1.15B, +2.4%.
- Gross margin of 41.8% vs 45.3% in Q4-25.
- EBIT \$368.9M (-10.6%),
- Net income \$327.4M (-17.4%),
- Diluted EPS \$0.35 vs \$0.41.

A summary of FY26:

- Revenue: \$4.67B (+0.4%, +2.4% adjusted for Helene and Milton, which inflate FY25),
- \$2.08B of gross profit (-0.8%), \$1.65B of EBIT (-2.6%), \$1.48B of net income (-2.5%) and EPS of \$1.55 (-2.5%).
- Operating cash flow falls 10.9% to \$1.60B, but capex drops from \$569M to \$300M so FCF rises anyway: \$1.27B vs \$1.23B.
- \$1.63B of buybacks over the fiscal year, vs 0 last year. \$5.7B of liquidity remains (revolver included), \$4.5B of it in cash and HTM securities, still with no debt.
- And the same day, Copart announces the acquisition of ACV Auctions for at least \$1.9B in cash.

It's a bad quarter and a bad year for Copart. Nothing new or unexpected. What interests me is what it says about the future.

2.1 The heart of the thesis: US insurance

2.1.1 The most important number of the quarter, and by

Here's the most important sentence of the quarter, in Adair's own words:

“Global insurance units were down 4.2%, with domestic insurance being down 7.5% and international insurance being up 11.2%. With the exception of one single customer loss, domestic insurance assignments would be up 2.3%.” [5](#)

A little further on, the CFO, Leah Stearns, adds: *“U.S. inventory was down 3.4% year over year, with the three main drivers being **the decline in assignments of 5%**, faster cycle time experienced by our customers, and the reduction in overall aged inventory.”*

This is a partial confirmation of my thesis (these are still only clues):

- The impact of the Progressive volume shift, the “one single customer loss”, is weighing.
- The insurance cycle is slowly starting to turn in Copart’s favor, with domestic insurance assignments at +2.3% excluding Progressive.

Quick vocabulary point: **the assignment = the moment the insurer hands a vehicle over to Copart**. From there, Copart tows the vehicle, stores it, waits for the salvage title (45-60 days), then sells it on its platform. The unit sold = the end of the pipeline so that’s when the quarter’s unit counter goes +1. So between the assignment and sale there’s generally a 2-3 month gap in which the vehicles stay in inventory.

That has 2 important implications for the thesis:

The rest of this update is for paid subscribers. So is the ACV Auctions analysis, coming in a few days, everything in the archive, and every deep dive I publish from here on: **hundreds of hours of research on a single company**, so you get in a couple of hours what would otherwise take you months.

€25/month, billed annually. Less than a single sell-side report, for research almost nobody on the sell-side is doing.

- The share of volumes tied to the Progressive shift inside Copart’s -7.5% in US insurance units is a **lagging consequence** of the assignment volume shift 2-3 months earlier, i.e. over the February-May period.
- The -5% in assignments in Q4-26 and the +2.3% excluding Progressive will see the bulk of their impact show up in Q1-27. It’s semi-guidance in disguise. They’re implicitly telling us that **at constant RPU, US insurance revenue will be down**

Q1-27, and that revenue adjusted for the Progressive loss will be up (at constant RPU, again).

What matters most to us: how long, and to what extent, is the Progressive volume going to keep weighing on US insurance units?

2.1.2 Quantifying the impact Progressive can still have

Let's go back to the -5% in assignments in Q4-26 for the US segment and the +2.3% excluding Progressive in US insurance.

To get the assignments lost because of Progressive, we need to adjust the -5% for non-insurance, then subtract the result from the 2.3 points excluding Progressive. Management doesn't give this figure, but we can manage.

US non-insurance accounts for 25% of the mix, and its volumes are flat, +0.2% for the quarter. Assuming that US non-insurance assignments for the quarter = 0% is therefore a low-risk assumption. So we're going to make it. The -5% of the total is carried by insurance alone, which is 75% of the mix: $-5 / 0.75$, i.e. about -6.7% in assignments in the US insurance segment. **So we have a shift in Progressive's assignment volumes that costs Copart about 9 points ($2.3 - (-6.7)$) of US insurance volume, most of which will flow through in Q1-27.**

Overall, US assignments at -5% in Q4-26 also mean that US revenue in Q1-27 will probably be down if RPU growth stays below 5% ("probably" mostly reflects the uncertainty around the approximations I made). RPU on US units was +8.0% in Q4-26⁶, so Q1-27 starts against a very tough comp.

Next quarter's assignments will tell us whether we're approaching the end of the Progressive shift and whether the insurance cycle turn is continuing/accelerating. I provided management designs to give us the figure adjusted for the "one single customer loss" again, which they just disclosed for the first time ever (strange, given that "everything's good" according to the CEO; for a comeback, I find the quality of his communication with shareholders really poor).

In the meantime, I went digging into IAA for a few clues, and I found some.

In its latest earnings call (August 2026), management says: *“One of the clearest points of our momentum is the expansion of our relationship with our largest automotive insurance partner, who we now support across all 50 states in both personal auto and commercial lines. [...] Within 90 days, the team successfully integrated substantial additional volume across 30 states.”*

There’s almost no doubt that “our largest automotive insurance partner” = Progressive. So since somewhere between April and July, IAA has been handling Progressive’s volumes in all 50 US states, including “substantial additional volume across 30 states.” I have no way to quantify these volumes. I can only make a purely Bayesian argument. Based on all this information, I’d bet on a majority (>50%) of the volumes Progressive used to hand to Copart having already shifted to IAA, rather than a minority (<50%).

We then need to take into account the 9 points of assignments that Progressive lost in US insurance over May-July 2026. That’s a shift that has already taken place, even if the bulk of the impact will show up in Copart’s US insurance units over the August-October period. Still on Bayesian grounds, that tips the scales a little further toward “the majority has already shifted” rather than the opposite.

My take is: once this loss of assignments translates into a loss of units in Q1-27, the impact of the Progressive loss will weigh on units at a scale similar to Q4-26’s, and will keep doing so through Q2-27 before its impact on Copart’s numbers declines (until the volumes have fully shifted). (Again, this is a purely Bayesian argument; my guess is worth as much as any other guess.)

To sum up:

- The latest assignments figure is consistent with the start of the insurance cycle turning in favor of Copart’s mix.
- The majority of the Progressive shift has very probably already taken place (and a large chunk of it will still have a significant impact at least until Q1-27).

Following the reasoning above, my scenario has become a little more likely than I wrote it at the end of August: “US insurance units excluding CAT. This is the metric for testing my countertrend thesis. It’s the heart of my thesis. I expect stabilization in FY27, maybe even a return to growth.”

Taking everything into account (Progressive + the US insurance cycle turning around) **I lean toward the following scenario for US insurance units:**

- Q1-27 down mid-single digits.
- Q2-27 down low-single digits.
- Q3-27 flat/up low-single digits.
- Q4-27 up low/mid-single digits.

If you add the change in RPU on top, **Copart can theoretically get back to revenue growth in the US insurance segment as early as Q2-27 (more likely from Q3-27)**. These are only my estimates. Don’t trust me. Analyze the facts, test my argument, make your own estimates.

This is actually the perfect moment to restate the risks: even if the Progressive slide is bounded in size, the insurance cycle may not turn, or may even turn against Copart over an extended period of time. Worse still, Copart could lose another big insurance account. In my view that’s unlikely (I explain why throughout my deep dive), but remains possible.

That said, it’s time to tackle the margin problem.

2.2 The margin isn’t a separate problem

US segment in Q4-26:

- Revenue +0.4% in Q4.
- Gross margin -4.1 points.
- EBIT -12.7%.

Let's start at the top line: there isn't much to say about it. Copart doesn't publish RPU, so I calculate it the way I did in the deep dive: US service revenue / US unit. That gives +5.1% for the quarter vs +5.4% for the fiscal year. So RPU offsets most volume decline: US units are -6.9% for the year, with service revenue at -1.8%. The CFO spells it out herself on the US segment: "Total revenue was up 0.4% in the quarter as higher revenue per unit largely offset a decline in volume."

(Q1-26 is the high point of the series: +8.0%, then +4.3%, +4.0% and +5.1%. So Q1-26 will start against the hardest comp of the fiscal year.)

So everything played out below the top line. US site costs rise 7.7% for the quarter, G&A 10.7%; all that in a quarter where Copart sold 5.7% fewer cars. If you look at this over the full fiscal year, those same site costs fell 0.7%. Seen that way, it looks like Copart held its costs all year and slipped in the last quarter. But that's without counting hurricanes Helene and Milton, which hit in Q1-25 and whose extra costs weighed on Q1 and Q2-25 (I put them at \$56M, i.e. 1.4 points of service revenue). Underlying costs didn't necessarily fall in Q1 and Q2-26 (-5.9% and -5.6% respectively). Those declines simply benefited from an easier comp.

The CAT events distort Q1 and Q2-26 too much, and management doesn't give us what's needed to adjust properly, so let's focus on the other quarters:

- In Q3, US volumes fall 4.2% and the \$ spent rise 1.7%.
- In Q4, volumes fall 5.7% and the \$ spent rise 7.7%.

So cost per vehicle rises about 6% as early as Q3, before accelerating in Q4 to +14%.

There are 2 different causes behind this acceleration.

The first one is obvious: **the reverse effect of operating leverage**. Every extra car lost that's already paid for costs almost nothing, so every car lost leaves the whole loss to the others. All of it against an inflationary backdrop.

The second is a choice, and a choice Copart has already made.

Let's go back to FY13 and FY14. Copart decides to expand quickly internationally it plants its flag in São Paulo and Dubai, and opens new yards in the UK and Mo. Site costs are +37.8% and G&A +43.7% while revenue is only +25.9% (that was another era). Operating income falls 2 years in a row with 7 points of margin disappearing. That's enormous. Then FY15: revenue falls 1.5% and operating income rises 25.3%.

In my deep dive, I concluded: *"When Copart plants its flag in a new market, the income statement pays for it for several quarters, even two years, before the payoff shows up. I'm tucking this one away in my satchel."* This is the moment to bring that idea back out.

Stearns names 3 investments behind the quarter's cost increase:

- **Title Express**, where Copart goes and obtains the title and clears the lien on insurer's behalf (the insurer gains days of processing time).
- **Long-haul delivery**, the long-distance shipping of cars bought on the platform launched in Q3-26 and billed to the buyer.
- **And 25 dedicated wholesale yards** (areas built out inside existing facilities, with technicians + tooling) to handle dealers' undamaged cars.

To sum up: service + a focus on dealers. Segments where Copart has already said it wants to expand. So Copart is giving itself the means to do it (how could we not ignore the elephant in the room for the dealer segment: the ACV Auctions acquisition).

The impact of service revenue will show up mostly in RPU, in particular in the gap between the ASP and RPU changes. **The further RPU growth runs ahead of ASP, the stronger the sign that service revenue of the Title Express type is rising.**

Management has already guided for the wholesale yards, and their assumed impact on non-insurance units should be significant over the spring-summer 2027 period, as Adair said on the call announcing his return. Nothing new here.

As for whether it will work, margins and operating income will start to answer in a few quarters.

These investments are secondary in my thesis. The most important thing is that growth in insurance units comes back and brings down cost per vehicle. These investments won't offset an insurance cycle that stays unfavorable to Copart, let the loss of another big customer.

Conversely, an improving margin isn't necessarily good news. It can be a base effect tied to Copart cutting investment sharply after an investment phase, as already happened in FY15. It will flatter the comps, but it won't fix the US insurance unit problem, nor will it settle whether these investments succeeded. The devil will be in the details.

As far as I'm concerned, **the margin problem is above all a US insurance units problem, and partly a question of investment.** I don't consider it a new problem. On the other hand, if US insurance units grow without margins rising, that will be a situation that is more problematic (e.g., cost inflation running away, overinvestment, etc.).

2.3 The growth legs outside US insurance

2.3.1 International

International, on the other hand, produces volume. In Q4:

- international units rise 10% (including +11.2% in insurance),
- with assignments at +10%,
- and inventory ending at +10.4%.

In short, this isn't just inventory drawdown. **The flows are really there.** International revenue rose 11.7% in Q4 and 8.5% for the year.

What interests us internationally is mostly service revenue (about 2/3 of the segment vs 1/3 buy-and-resell). Service revenue is +15.5% in Q4 (the biggest source of growth in the quarter) vs +12.4% in FY26. The segment now accounts for 14.1% of EBIT for the year at a 27.2% operating margin. But there's the eternal currency trap. As a reminder

over the first 3 quarters of FY26, international service revenue was +11.4% nominal and +5.9% excluding currency effects. So this growth is partly unrelated to Copart's operations.

As a reminder, there are 2 main growth drivers for Copart internationally:

- **The conversion** of insurers from a buy-and-resell model to a consignment model (service).
- **The increase in consignment volumes** beyond conversion. That's what largely drives the quarter's service revenue growth: *"Fee units increased 11.5% for the quarter and 4.6% for the fiscal year, and were primarily driven by our U.K. and Canadian operations. While purchased units increased 0.2% for the quarter and declined 2.1% the full year."* (as a reminder, Canada and the UK are markets where the consignment model is already well developed).

On that note, Adair gives us some information on the future of this growth: *"we've got the German model figured out, so it's time to start growing, and it's time to start expanding across Europe, and we're going to be doing that."* He adds that Copart is profitable in international markets and wants to open new ones. That moves up the timetable in my deep dive, where I mostly saw expansion into new markets as a longer-term growth driver (as new laws come in, as standards change, and through acquisition). It looks like Copart is in a position to shift into a higher gear. **If that's the case, it's good news, but modest in terms of short-term impact.**

As a reminder, the key to knowing where Copart is preparing its entry into new countries is international non-insurance. It acquires a company along with its customer relationships, develops relationships with insurers and/or regulators, probably lobbies, and accelerates penetration when the opportunity shows up. In Germany, it bought WOM in 2012 before signing its first contract with an insurer 3 years later. In FY26, international non-insurance drops off in the last quarter: +9.1% in Q1, +11.2% in Q2, +11.2% in Q3, +6.0% in Q4. So if Copart expands the way it says it will, either growth is going to re-accelerate organically, or Copart is going to make acquisitions (in particular to enter or accelerate its expansion in the European market).

To sum up:

- **International** is currently the growth segment and is **taking on more and more weight**, in particular in EBIT (relatively speaking).
- The growth tied to entering **new international markets will probably take years** but it will be based on a known and effective model.
- In the meantime, the segment will probably keep producing similar ex-FX growth **in the mid-to-high single digits**.

Within my thesis, international sits apart, with its own margins, its own constraints etc. Above all, growth in this segment is a way to buy a bit of time in case the insurance cycle turn takes a while to happen. **If this growth falls, it's not a disaster; if it rises, it's not a rescue.**

2.3.2 US non-insurance

The fiscal year figure is bad, -3.9%, but as we've already seen, it's **self-inflicted**: Copart Direct units, the cars Copart buys from individuals and resells, fell 34.5% for the quarter because Copart keeps shifting its lower-value cars to Direct Buy (a separate channel where it collects a referral fee for putting the seller in front of a junk buyer). The units never enter Copart's inventory, so those units are no longer counted at all.

Underneath, it's growing. Dealers are +5.8% for the quarter, Blue Car (banks, rental companies, fleets) close to +20%, and the total goes back to growth in Q4 at +0.2%. Small in magnitude, but it matters. Between FY23 and FY25, US G&A excluding depreciation went from \$186M to \$327M. The goal was mainly to expand the sales force, and the returns on that investment are finally starting to come through, even if the overall figure is blurred by the Copart Direct impact.

But Copart is structurally limited in this market. The competition is intense and entrenched, and despite all of Copart's efforts over nearly 20 years to break into the market, Copart remains a long way behind the giants. That's largely why Copart decided to buy ACV Auctions: *"to get into those franchise dealers and get into the high-end trades, I think does take a different product. ACV is a different product than Copart."*

But I'll come back to ACV Auctions and US non-insurance in more depth in a few days.

2.4 Free cash flow

FCF rises 3.0% to \$1.27B in a fiscal year where every income line falls, thanks to a drop in capex to \$337M. Meanwhile operating cash falls 10.9%.

This cut is entirely domestic. Over the first 9 months of the fiscal year, US capex acquisitions drop from \$428M to \$206M, while internationally they go from \$55M to \$58M. In short, Copart has stopped buying land in the United States and keeps investing elsewhere. Nothing new.

This quarter teaches us one thing: if US insurance units don't come back to make up for the operating cash that's been lost, holding FCF won't be sustainable. 3 reasons:

- **The investments are going to continue.** Stearns announces "bringing on additional capacity with new facilities". Adair announces that investment will continue on domestic whole car and on technology.
- **The ACV Auctions acquisition, if it happens, will add capex** while ACV itself generates very little FCF.
- Suppose they really want to preserve FCF. I estimated maintenance capex at around \$230M. So the room to maneuver on growth capex is limited, about \$100M. After those \$100M, the only place left to cut to preserve FCF is maintenance capex. That's very unlikely and above all not desirable. This maintenance capex covers the buildings, the trucks and the technology sitting on the land. Put differently, it's what keeps the network running day to day. They spent decades building this asset. **They won't damage it to hold an FCF figure.**

Only growth in US units can keep FCF where it is in the coming quarters. Even growth in US insurance units over the next 3-4 quarters won't mean an increase in FCF, but it will offset, at least in part, the first two points above. Over the longer term, optimizing ACV Auctions and the synergies with Copart could move the needle, if that ever happens.

2.5 Cash and capital allocation

Everything changed in one quarter.

To sum up: \$1.9B committed to ACV Auctions, and a complete halt to buybacks : \$1.6B spent in 3 quarters.

Obviously, all of this lines up with Adair's return, and he made M&A a priority when he came back. But still, a complete halt to buybacks?

My read: they stopped precisely in anticipation of M&A. A few weeks ago, Copart showed interest in acquiring CCC Intelligent Solutions, the near-standard in auto claims management software in the US (the software behind the repair-or-total decision). We're talking about a purchase of \$6B at the very minimum. Keeping the cash made sense. (While I'm at it, I'll repeat that in my view this acquisition won't happen. The insurers and/or the regulator will probably block it. In any case, the insurers have every incentive to.)

Today it's slightly different. Copart has committed to the \$1.9B acquisition of ACV Auctions (in line with what I thought: "I'd lean toward amounts of at least \$500 million, or even more than \$1B"). It's not a decisive deal for Copart in terms of size (1.5x Copart's FCF), but it's going to require a certain amount of integration time and investment for a company that hasn't made an acquisition this big relative to its history in decades. I doubt they'll follow up with an even bigger acquisition in the months to come, but it isn't impossible. Is it desirable? I'm not sure. It will depend, as always, on what and at what price.

In the meantime, Copart can keep accumulating cash, including during this integration (if the ACV acquisition happens), in anticipation of future acquisitions. At some point, **the perennial opportunity-cost question will have to settle it**. For example, a buyback under \$30 carries no integration risk, no future investment risk, and no risk of bad market perception. It isn't fancy, it won't make headlines, but it will remain one of the simplest and most effective ways to create value for existing

shareholders with less uncertainty. I hope Adair has this firmly in mind, including when he says “To do the right deal, I would take on some debt.”

No doubt we haven’t heard the last of this capital-allocation question. Especially ACV.

2.6 What this quarter changes in my thesis and my model

Everything, and nothing.

Nothing, because the little information we have points toward a continuation of Progressive volume shift and of the insurance cycle turning in favor of the mix of Copart’s insurance customers. At most, it has probably taken 1 or 2 quarters off the window in which I can expect a near-confirmation of my thesis (a return to growth in US insurance units at the end of FY27 rather than the start of FY28), even if it reveals a fairly subtle clue for now.

Everything, because my model deliberately didn’t take acquisitions into account for a good reason. The uncertainty around this parameter was enormous: which company, at what price, what potential synergies, etc. True, some new information from this quarter refines certain parameters of the model, but that doesn’t offset the uncertainty sitting right next to it: what’s the point of redoing the model if the ACV acquisition doesn’t happen, and/or if another even bigger one does?

The reason I’m not redoing the model is the uncertainty around ACV, but I’ll reiterate to you that the thesis underpinning it hasn’t changed. I’m still long Copart.

See you in a few days for an in-depth analysis of the ACV Auctions acquisition.

Take care,

Flo

I'm not a financial advisor and this isn't financial advice. Your money, your judgment, risks, your returns. The fine print [here](#).

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- 1 NAIC, 2023 Property & Casualty Insurance Industry Report, private passenger auto li
 - 2 S&P Global Mobility, US insured vehicle-years data, Q4 2025.
 - 3 US Bureau of Labor Statistics, CPI for motor vehicle insurance, 12-month change.
 - 4 NAIC, 2025 private passenger auto market share by group.
 - 5 In my view this sentence shows that management knows it's in trouble, despite the everything's-fine act. In fact, they're doing exactly what IAA did before it was acquire quote a figure adjusted for a problem to show that, apart from that problem, everythin fine. Except that Copart spent a long time acting as if this problem didn't exist. Overa think management, and above all the CEO, has a really bad relationship with shareho And Adair's 1st earnings call is in the same vein, if not worse. If I didn't already know Copart and its track record, a sentence like that would make me move on to the next 1 As a reminder, here's what I said in my deep dive: *"To grasp the scale of the problem, her line from IAA management: 'U.S. volume excluding the one large customer grew 5% in 2022.' honest, when I read that in a conf call, I move straight on to the next stock. It's the equivalent took a bullet in the thigh, but my arm's doing pretty well."*
 - 6 Stearns had given the figure in Q1-26: +7.5%. My method gives +8.0%. The gap comes things: she divides by service units while I divide by total units, and US purchased uni falling faster than the rest. The gap isn't trivial, but for what I do with it, it's acceptab
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